

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 26-05

WORLDLOG, LLC d/b/a WCM WORLDWIDE

COMPLAINANT,

v.

UNITED CARGO MANAGEMENT, INC.

**COMPLAINANT’S OPPOSITION TO RESPONDENT’S
MOTION TO DISMISS COMPLAINT OR IN THE ALTERNATIVE STAY
PROCEEDINGS**

Complainant Worldlog, LLC d/b/a WCM Worldwide., (“Complainant” or “WCM, pursuant to 46 CFR §502.70(b), files this opposition to Respondent United Cargo Management, Inc.’s (“Respondent” or “UCM”) Motion to Dismiss (“MTD”) or in the Alternative Stay Proceedings (“MTS”). For the reasons set forth below, Respondent’s MTD and alternatively its request for MTS should be denied.

PROCEDURAL HISTORY

On April 2, 2026, WCM filed its Verified Complaint. On May 7, 2026, Respondent filed a Motion for Extension of Time to Respond. On May 8, 2026, the designated Administrative Law Judge (“ALJ”), granted Respondents Motion to Extend and allowed until June 10, 2026, for Respondent’s response. On June 10, 2026, Respondent filed a Motion to Dismiss (“MTD”) or in

the Alternative Stay Proceedings. On June 22, 2026, Complainant filed a Motion for Extension of Time to File a Response to Respondent's Motion to Dismiss or in the Alternative Stay Proceedings, which motion was granted and allowed a response date of June 16, 2026, for Complainant to respond to UCM's MTD.

INTRODUCTION

Respondent moves to dismiss or stay this proceeding. The motion should be denied. It does not test the sufficiency of the Complaint; it asks the Presiding Officer to resolve disputed facts on UCM's own declarations at the pleading stage — which the standard for MTDs forbids. On the questions that matter, Respondent's motion should also be denied because the Complaint alleges serious violations of the Shipping Act and FMC regulations and submits that Complainant has sufficiently pled and articulated the causes of action and supporting factual allegations.

Complainant filed this formal proceeding against Respondent UCM and alleged facts to support violations of the Shipping Act and FMC regulations that govern the conduct and activities of all licensed and registered Ocean Translation Intermediaries (OTI"). Respondents are free to seek redress for any breach of contract claim it may have against Complainant in any court. What Respondent is not free to do when terminating a commercial relationship is to engage in a pattern of retribution, retaliation, unjust and unreasonable practices, hold or threaten to hold cargo of shipper-customers that stayed with Complainant, in violation of the Shipping Act and FMC regulations governing licensed NVOCCs. As UCM should know, a licensed NVOCC must keep just and reasonable practices for receiving, handling, storing, and delivering cargo—even after and during a commercial divorce. In addition, the Shipping Act prohibits a common carrier NVOCC from retaliating against a shipper, an agent of a shipper, or resorting to any other unfair or unjustly discriminatory action and unlawfully disclosing of information. without the consent of the shipper

or consignee if the information—that may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier . . .” • Complainant maintains that after its separation, Respondent cannot simply ignore or jettison its obligations and responsibilities under the Shipping Act and FMC regulations and engage in unlawful conduct as alleged in the Complaint.

In its MTD, Respondent attempts to support its MTD with two declarations, which are inappropriate to submit to support Respondent’s MTD. Complainant objects to Mr. Lee’s Declaration and the ALJ should completely disregard it as hearsay, flawed, speculative, or unsworn testimony, and attempts to introduce facts beyond the scope of the Complaint.

In its MTD, UCM argues that Complainant fails to allege facts sufficient to support the jurisdiction of the Federal Maritime Commission (the “Commission”) over the claims and fails to allege facts sufficient to establish a claim under 46 U.S.C. §§ 41102(d), 41103, 41104(a)(4)(E). MTD at 1.

UCM’s MTD is based on the premise that UCM acted as a compliant and lawful OTI, which Complainant submits it did not. Respondent UCM in its MTD states that, “[I]t does not take more than a cursory review of the customer agreements and bills of lading at issue to recognize that these were UCM, and not Worldlog, customers and relationships.” MTD at 2. Respondent states further that Complainant doesn’t appear in bills of lading and tried to collect on “UCM-negotiated agreement” and control the cargo under those agreements.” MTD. at 2. Finally, Respondent states that all customers claimed by Complainant belong to Respondent and the “customer relationships were all with UCM and the cargo was shipped under UCM’s license”. MTD at 3.

However, UCM is the one that has it all wrong. Complainant adequately alleged in its Complaint that, “UCM engaged in a deceitful pattern to invoice customers for ocean freight knowing that it did not act as an NVOCC carrier as defined by FMC regulations.” Complaint at 6, ¶ 22b, 10 ¶40. It is Respondent that failed to take a cursory look at its own shipping documents that clearly show that it acted as a destination agent and/or notify party for foreign registered NVOCCs, and that it was these NVOCCs that issued their own house bills of lading to the customers that decided to stay with complainant WCM. It was also these registered NVOCCs like Hecny and Seamaster that acted as the shipper NVOCC on the master bill of lading—not Respondent as it now claims. See Complaint at 6,10. (UCM did not act as an NVOCC carrier.)

Against Respondent’s ruse that it was acting as a common carrier NVOCC, Respondent argues that WCM’s Complaint should be dismissed because Complainant: (1) was not the “direct purchaser”; (2) failed to state a claim under Section 41103 because WCM didn’t allege facts it was a “shipper or consignee” of the property or cargo at issue; (3) failed to state a claim for retaliatory conduct under Section 41102(d) because WCM did not allege any retaliatory conduct directed at WCM; (4) failed to state a claim under Section 41104(a)(4)(E) because the Complaint’s allegations were vague, conclusory allegations, and lacked allegations of practices and wrongful conduct directed at complainant; (5) based portions of its Complaint on UCM’s right to bring suit in federal court; and (6) failed to state a claim under 46 C.F.R. § 515.31(e) because it failed to state specific allegations of false or fraudulent statements (knowingly or unknowingly) made by UCM against Complainant regarding any OTI transactions. Complainant disagrees with Respondent’s foregoing assertions, allegations and addresses each of them below.

FACTUAL ALLEGATIONS

Complainant disputes UCM's version of facts that gave rise to Complainant WCM filing its Complaint. Complainant incorporates by reference the facts cited in its Complaint as based on real time of events as Respondent was threatening hold cargo of customers that decided to stay with Complainant WCM if those customers did not pay UCM despite UCM knowing that the freight claimed was already paid. Complaint at 5, 8, 9. Complainant WCM disputes certain factual allegations made by UCM in its MTD:

1. "UCM, not Worldlog, is the licensed NVOCC on all the bills of lading for those shipments." MTD at 5. This is incorrect as stated above, because at best UCM shows as a destination agent consignee or notify party on ocean carrier bills of lading and did not issue its own house bill of lading as other foreign NVOCCs were acting as the true NVOCC on the master bills of lading.

Respondent must review—not a cursory look—all the bills of lading from beginning May 2025 that will show Respondent not issuing its own bill of lading. Complaint at 6 and 9. Respondent alleges that Complainant failed to provide customer agreements and bills of lading, but Respondent has all the VOCC master bills of lading wherein it will not show as the NVOCC shipper. During the beginning of May 2025, with respect to shipper-customers that decided to stay with Complainant, and no corresponding house bill was issued to that shipper-customer by Respondent because in the majority of shipments Respondent did not issue a house bill.¹

2. "Noticeably absent from Worldlog's Complaint are any actual customer contracts or bills of lading, or any specific allegations regarding customer agreements with Worldlog. Worldlog did

¹ During this period, Respondent may have issued three (3) bills of lading.

not attach these materials either because they do not exist, or the agreements show exactly the opposite of what Worldlog is contending.” MTD at 5-6. Complainant does not understand UCM’s reference to “customer agreements.” If UCM meant written customer agreements like NVOCC NSAs or NRAs, WCM is not aware of any. In addition, as stated above, WCM is not aware of any bills of lading issued by UCM—only those issued by the foreign NVOCCs that appeared in the VOCCs shipper box and issued their own house bills of lading. Respondent alleges that Complainant failed to provide customer agreements and bills of lading, but Respondent has all the VOCC master bills of lading wherein it will not show as the NVOCC shipper.

3. Respondent next makes allegations that somehow Complainant tried to “secure customers and needed contracts, Worldlog misrepresented itself as a continuation of UCM or affiliated with UCM when it was not.” Respondent cites an email from Complainant to agent partners attempting to show that Complainant was trying to deceive customers. MTD at 6-9. Complainant denies it tried to deceive its agent partners or any other party or shipping public. As stated in the Complaint, as part of its separation from Respondent obtained its own FMC OTI license as an NVOCC. Complainant in good faith understood it had the UCM’s consent to utilize the trade name “UCM” as it did for many years and requested it be added to Worldlog’s OTI license. Upon knowing that UCM rescinded its consent to the use of the trade name “UCM”, complainant, in good faith, immediately filed an FMC 18 application to remove UCM as a trade name DBA.

4. Finally, Respondent alleges that, Complainant misappropriated CM’s trade secrets and confidential customer information by locking UCM management out of the Charleston computer systems so UCM could no longer track shipments or payments that were booked out of the Charleston office,” and “did the same thing” with UCM’s emails. Respondent then cites a Texas

shipment and alleges that it was handled by a Complainant UCM's employee while still employed by UCM MTD at 9-10. Complainant disagrees with Respondent's characterization of facts as presented and maintains that it acted in good faith during the separation transition period and continued to maintain the best interest of the shipper-customers and ensure that their cargo was not delayed or held for nonpayment of freight and related charges.

LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances not covered by the Commission's Rules to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. "In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 531634 at *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008 at *11 (FMC Aug. 1, 2011)); See also, *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 2020 WL 6445041 at *5 (FMC, Oct. 29, 2020) (stating that the Commission looks to Rule 12(b)(6) when considering dismissals for failure to state a claim). "When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies." *MAVL Capital*, 2 F.M.C.2d at 203 (citing *Kerns v. United States*, 585 F.3d 187, 192–93 (4th Cir. 2009)). "Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true, and all reasonable inferences are drawn in the complainant's favor." *Id.* (citing *Maher Terminals, LLC v. The Port Authority of New York and*

New Jersey, Docket No. 12-02, 34 S.R.R. 35, 54 (FMC Dec. 18, 2015). Also, the Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009). The complaint must be sufficient to “give the defendant fair notice of what the ... claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”).

Mitsui, 2011 WL 7144008 at *12.

While a “formulaic recitation of the elements of a cause of action” is not sufficient, “[w]hen there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678-79 (2009). Meeting the plausibility standard “simply calls for enough fact[s] to raise a reasonable expectation that discovery will reveal evidence” of the alleged violation. *Twombly*, 550 U.S. at 556. At the motion to dismiss stage, the “choice between two plausible inferences that may be drawn from factual allegations is not a choice to be made by the court on a Rule 12(b)(6) motion.” *Anderson News, LLC v. Am. Media, Inc.*, 680 F.3d 162, 185 (2d Cir. 2012). The Commission explains: “Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint.” *Cornell*, 2014 WL 531634 at *6, 33 S.R.R. at 620-621 (citations omitted).

Accordingly, Complainant submits that its well-pleaded factual allegations in the Complaint must be assumed to be true and are to be construed in the light most favorable to Complainant WCM.

The pressing ALJ should deny Respondent's MTD because Complainant has sufficiently pled that the Complainant has standing to bring claims under the Shipping Act because it directly paid ocean freight and related charges to the ocean carriers. Complainant further submits that it has alleged sufficient facts to state a claim against UCM for violation of §§ 41102(d), 41103, and 41104(a)(4)(E) of the Shipping Act, under 46 CFR §515.31(e) of the Commission's regulations.

ARGUMENT

I. WCM Has Standing to Seek Reparations Despite UCM's Claim that WCM Is Not a "Direct Purchaser."

UCM argues that the "Direct Purchaser Rule" bars WCM from seeking reparations because "WCM lacks standing because it was not a purchaser of any carrier services from UCM or a party to any of the customer agreements allegedly at issue." MTD at 13. Complainant disagrees.

Respondent is very much aware that Complainant paid ocean freight directly to ocean carriers. Complainant has sufficiently alleged facts to support this point. Complainant stated in its Complaint that:

In total, WCM advised UCM on May 6, 2025, UCM billed several WCM customers a total of \$690,132.85, for ocean freight and related charges since early May 2025, despite the fact those charges were paid by WCM to ocean carriers and other vendors. In addition, for shipments referenced in the May 6 Letter, UCM did not issue a bill of lading, did not assume responsibility for the subject shipments, and did not pay the ocean freight directly to the carriers, or otherwise acted lawfully as an NVOCC carrier, and therefore, UCM cannot claim ocean freight charges from shippers-customers who had already paid the ocean freight.

Complaint at 9, ¶ 36.

Complainant submits that in line with the Commission’s decision in *In Re Vehicle Carrier Services*, it paid directly the ocean freight and therefore, has standing to seek reparations from Respondent consistent with the “direct purchaser rule” as explained in the Commission’s decision in the case of *In Re Vehicle Carrier Services*, Dockets 16-01, 16-07, 16-10, and 16-11 2019 WL.

Respondent conveniently omits from its Opposition, the allegations in the Complaint, approximately seven (7), that Complainant paid the ocean carriers for the ocean freight. Complaint at 7, 8, and 9.

WCM respectfully submits that the “Direct Purchaser” rule does not prohibit Complainant from seeking reparations for payments it made directly to the ocean carriers to secure release of cargo for shipper-customers that decided to stay with Complainant. WCM’s Complaint seeking reparations is directly against UCM as a licensed OTI.

I. WORLDLOG HAS PLED SUFFICIENT FACTS TO ESTABLISH A VIOLATION OF 46 U.S.C. § 41103 (DISCLOSURE OF INFORMATION) AND 46 U.S.C. § 41102(d) (Retaliation).

A. Count I: 46 U.S.C. § 41103 (Disclosure of Information)

In its MTD Respondent states that the “Complaint fails to state a violation of Section 41103(b) because “Worldlog does not and cannot allege that Worldlog was the “shipper or consignee” of any of the property or cargo at issue.” MTD at 16. Respondent’s MTD also argues, “[t]o the contrary, Worldlog admits that “[u]nder the UCM-WCM Agreement WCM, on behalf of UCM—the FMC licensed OTI—negotiated all ocean carrier service contracts and made minimum quantity commitments (“MQC”) on behalf of UCM.” (Complaint, ¶ 9). MTD. Id at 16. Finally, Respondent argued that, “all of Worldlog’s claimed carrier service contracts and MQCs were made on behalf of UCM—in other words, for UCM’s customers. That situation never changed.” MTD at 16.

Complainant disagrees and its MTD dismisses should be denied.

The Presiding Chief ALJ should deny Respondent's MTD because it appears that Respondent did not read Count I of the Complaint because it was Complainant's Service Contract that was the subject of Count I of the Complaint—not UCM's Service Contract. It's Complainant's Service Contract that is the subject of Count I of the Complaint—not UCM's at it incorrectly argues. The Complainant sufficiently alleged that, "Complainant WCM alleges that Respondent UCM unlawfully disclosed information **concerning WCM's service contact information** to ocean carriers to secure UCM's MQCs, resulting in ocean carrier shortfall claims against WCM because of UCM's use of confidential information unlawfully obtained from WCM. Complaint at 24, ¶ 25. Clearly Respondent misreads the Complaint because the Complaint only referenced unlawful access to Complainant's Service Contracts—not UCM's Service Contract.

Finally, Respondent also challenges Complainant's standing to make a claim under 46 U.S.C. Section 41103, because "[t]he Complaint fails to allege that Worldlog was a shipper or consignee of any property or cargo at issue in the Complaint, and therefore Worldlog's claim under Section 41103 fails." Again, Respondent misreads the Complaint and the law. The Complaint in Count I only references Complainant's Service Contract, which it entered with ocean carriers as "Shipper." The FMC regulations governing Service Contracts defines "Shipper" as, "a cargo owner; the person for whose account the ocean transportation is provided; the person to whom delivery is to be made; a shippers' association; or an **NVOCC that accepts responsibility for payment of all applicable charges under the service contract.**" 46 CFR §530.3 (f). (Emphasis added). Contrary to Respondent's argument, Complainant was the "Shipper" to Complainant's Service Contracts subject of Count I of the Complaint.

Finally, Respondent did not dispute any of the Complaint's facts as alleged in the

Complaint relating to the allegations that UCM utilized or attempted to utilize WCM's service contract information unlawfully through a former employee, who misappropriated WCM's confidential SVC information while employed by WCM. Complaint at 6-8 Para 23-32. Complainant more than sufficiently alleged facts to support a violation of § 41103, For all the foregoing reasons, the MTD should be denied on this issue.

B. Count II: 46 U.S.C. § 41102(d) (Retaliation).

Complainant respectfully submits that it has adequately alleged facts to support its § 41102(d) claim. Respondent states that Complainant's claim under Section 41102(d), "fails because the Complaint does not allege any retaliatory conduct directed at Worldlog." MTD at 16-17. Respondent argues that even if the Complaint alleges that UCM targeted Complainant's customers, by issuing invoices for freight and related charges to them, the alleged retaliation was directed at customers who remained with Complainant, not Complainant itself. MTD at 16-17. Complainant disagrees and submits that it has sufficiently alleged facts that support its §41102 (d) retaliation claim.

The Complaint alleges that "UCM violated §41102 (d), which prohibits a common carrier from retaliating against a shipper, an agent of a shipper, or resort to any other unfair or unjustly discriminatory action because WCM as an **OTI filed a complaint against UCM at the FMC, or for any other reason.**" Complaint at 8 (Emphasis added). As Respondent should know--Section 41102 (d), prohibits "a common carrier. . . , acting alone or in conjunction with any other person, **directly or indirectly** ... may not--retaliate against a shipper, **an agent of a shipper, an ocean transportation intermediary**, ... by refusing, or threatening to refuse, an otherwise-available cargo space accommodation **or**. . . resort to any other unfair or unjustly discriminatory action for-- the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has--(i) patronized another carrier; or (ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary;

or (B) any other reason. See 46 U.S.C. § 41102(d) (Emphasis added)

Here, the allegations in the Complaint are made against Respondent's direct retaliation against shipper customers that stayed with Complaint and indirectly against Complainant. Respondent is reminded of Complainant's May 6, 2025, letter to Respondent reminding UCM, among other things, that UCM continued to provide WCM customers, with false information about WCM, issuing invoices for freight and related charges that UCM knew it had not paid the ocean freight to the ocean carriers, and other UCM conduct and has resulted in confusion and aggravation on behalf of shipper-customers, thereby **impacting on the relationship that WCM has with its customers**. Complaint at 8. Emphasis added. The Complaint further alleged that UCM engaged in a pattern of retaliation and unfair conduct by targeting customers who remained with WCM and designated WCM as their preferred NVOCC by attempting to collect ocean freight knowing those customers had already paid full freight to WCM. This conduct impacted Complainant insofar as it had to address shipper-customers concerns about cargo delays, non-release of cargo, threatened holds on cargo, ocean freight payments, etc. In its Complaint, WCM contends that the customers should not have to pay twice if those shippers and or consignees paid the ocean freight to **WCM, who in turn paid the ocean freight to the underlying ocean carrier**. This has resulted in confusion and aggravation on behalf of shipper-customers, thereby **impacting on the relationship that WCM has with its customers**. Complaint 8-9. (Emphasis added).

Finally, Complainant specifically alleged Respondent's unlawful conduct's impact by alerting Respondent on May 6, 2026, that," . . . UCM billed several WCM customers a total of \$690,132.85, for ocean freight and related charges since early May 2025, despite the fact those charges were paid by WCM to ocean carriers and other vendors." Complaint at 9, ¶36. Contrary to Respondent's assertion, Complainant's Shipping Act claims are not direct and not speculative. Complainant sufficiently alleged a claim for retaliation under 46 U.S.C. § 41102(d) because of the Respondent's unfair conduct as alleged

in the Complaint. § 41102(d) protects OTI's—which includes an NVOCC like Complainant WCM. Based on the foregoing, Complainant submits that it has adequately alleged sufficient facts to support its § 41102(d) violation, and therefore, Respondent's MTD Complainant's § 41102(d) claim should be denied.

C. Count III: 46 U.S.C. § 41104(a)(4)(E) (Unfair or Unjustly Discriminatory Practice in the Adjustment or Settlement of Claims)

Respondent alleges that Complainant's allegations are a variation of the factual dispute over the proper recipient of freight payments. MTD at 18. Respondent next alleges that Complainant does not allege a practice. It alleges on "information and belief" that shipments belonging to a single shipper were not released in connection with disputed invoices." MTD at 18. Respondent states that Complainant's claimed amounts to nothing more than UCM legitimately invoicing its own customer." Id. Respondent argues that Complainant's reference in the Complaint that Respondent's filing of federal complaints against Complainant constitutes discriminatory practices under Section 41104(a)(4)(E) is barred under the litigation privilege citing California Civil Code. Finally, Complainant argues that Complainant claim is also barred under the *Noerr-Pennington* doctrine. MTD at 18-19. Complainant disagrees and submits that it has alleged sufficient facts to support its 41104(a)(4)(E).

Respondent misreads and misquotes Complainant's averment in ¶¶40 and 43. The Complaint's ¶ 40 only applies to on "information and belief" for "service provided pursuant to the publicly filed tariffs of UCM." The rest of ¶40 was not based on "information and belief." Respondent also misreads ¶43, which has no reference to or was based on "information and belief."

Complainant submits that the *Noerr-Pennington* rule does not bars Complainant's 41104(a)(4)(E) claim. Recently, the FMC observed that the *Noerr-Pennington* doctrine is not

limited to antitrust cases. It held in that case however, that the cases cited by Respondent OOCL did not address the applicability of Noerr-Pennington in the precise scenario in that case. The ALJ held that, the Noerr-Pennington rule may not apply and bar a 41104 (c) claim “where a respondent is alleged to have engaged in unreasonable dispute-resolution practices as part of a larger pattern of conduct in violation of the Shipping Act (and where those procedures are, by regulation, a relevant consideration). See *Samsung Electronics America, Inc., v. Orient Overseas Container Line Limited and OOCL (Europe) Limited.*, Served: November 18, 2024, Docket 24-17, at 16-17. Here, Complainant alleged that Respondent UCM engaged in unfair and unjustly discriminatory practices with respect to the adjustment and settlement of claims, specifically by withholding release of shipments belonging to a shipper who decided to stay with WCM, and coerce payment of unrelated, disputed invoices or for invoices that were already paid and where UCM did not act as an NVOCC carrier.” Complaint at 9. The Complaint also alleged that Respondent engaged in unfair and unjustly discriminatory practices by purposefully filing lawsuits and federal claims instead of seeking FMC dispute resolution services or other mediation services. However, as stated in the Introduction, “Respondents were and are free to seek redress for any breach of contract claim it may have against Complainant in any court. What Respondent is not free to do when terminating a commercial relationship is to engage in a pattern of retribution, retaliation, unjust and unreasonable practices, hold or threaten to hold cargo of shipper-customers that stayed with Complainant, in violation of the Shipping Act and FMC regulations governing licensed NVOCCs.” Respondent knows very well that Complainant reached out numerous times to engage Respondent in FMC CADRS type mediation. Complainant referenced these communications in ¶¶ 29, 43, and 47 of the Complaint. Here, as in *Samsung vs. OOCL*,

Complainant alleges that Respondent engaged in unreasonable dispute-resolution practices as part of a larger pattern of conduct in violation of the Shipping Act (and where those procedures are, by regulation, a relevant consideration).

Finally, on this issue Complainant submits that it sufficiently alleged that Respondent engaged in unfair and unjustly discriminatory practices with respect to the adjustment and settlement of claims, and WCM has suffered reputational and actual injury. The Complainant cited Complainant's May 6, 30, and August 15, 2025, letters identifying the unlawful practices under the Shipping Act and FMC regulations and damages known at the time" Complaint at 7,9, 10-11.

D. Count IV: 46 C.F.R. § 515.31(e) (False Information in Connection with an OTI Transaction)

Complainants submits that Respondent misreads 46 C.F.R. § 515.31(e). Complainant is aware that § 515.31(e) is an FMC regulation governing the conduct and activities of all licensed and registered OTIs. Complainant is also aware that this section must be complied with and failure to do could result in an FMC investigation and possibly a license revocation proceeding. Complainant defers to the presiding ALJ to take notice of 515.31 (e) and issue an order permitted under FMC regulations to refer claims to the FMC's Bureau of Enforcement for alleged violations of FMC regulations governing the alleged Respondent's unlawful conduct and practices prohibited under 515.31 (e).

Complainant disagrees that the Complainant did not contain specific allegations of Respondent's false or fraudulent statements (knowingly or unknowingly) or regarding any ocean transportation intermediary ("OTI") transaction. MTD at 19. Complainant submits that it alleged sufficient conduct and practices engaged in by Respondent that are prohibited under

515.31 (e). Complainant also cited in its Complaint additional instances of Respondent's unlawful conduct under 515.31 (e). For example:

- On or about May 6, May 30, and August 15, 2025, WCM put UCM on notice that UCM was engaged in FMC prohibited conduct by providing, disseminating, and/or imparting false or disparaging information about WCM and its principals, and WCM demanded that UCM cease from engaging in such prohibited acts. Complaint at 11, Para. 47
- After UCM rejected the separation and transition agreement with WCM, UCM intentionally engaged in systematic campaigns to harass, annoy, and cause damage to customers who decided to stay with WCM. UCM intentionally engaged in the following conduct that violates FMC laws and regulations, and supports WCM's claims for damages under the Shipping Act, as amended:
 - a. UCM engaged in a deceitful pattern to invoice customers for ocean freight knowing that those customers had already paid freight.
 - b. UCM engaged in a deceitful pattern to invoice customers for ocean freight knowing that it did not act as an NVOCC carrier as defined by FMC regulations.
 - c. UCM engaged in a smear campaign by disparaging, and providing false information to WCM customers, ocean carriers, and others with the intent of damaging the reputation and credibility of WCM.
 - d. UCM unlawfully obtained WCM's confidential service contract information to the detriment of Complainant WCM.
 - e. UCM unlawfully accessed and attempted to access WCM's Service Contracts without the knowledge and consent of WCM
 - f. UCM held innocent shipper's cargo when UCM did not act as an NVOCC, did not issue a bill of lading and therefore, could not exercise any lien rights.
 - g. UCM disclosed information in violation of the Shipping Act when it misappropriated confidential information contained in WCM Service Contracts with three ocean carriers in concert with a former WCM employee. The confidential information unlawfully obtained by UCM was utilized to secure service contract MQCs with ocean carriers thereby, resulting in liquidated damage claims by ocean carriers against WCM for MQC shortfalls proximately caused by

UCM's employee who obtained confidential information while employed by WCM.

Complaint at 5-6.

In addition, the Complaint in ¶¶ 29, 34, 40, 41, 43, and 47 allege the practices and conduct to support the alleged violations. Complainant submits that it sufficiently alleged facts to support a violation of 515.31 (e).

E Worldlog's Allegations Regarding Registration of Branch Offices and Trade Names Fail to State a Claim.

The Complaint alleges that UCM is in violation of the rules regarding registration of branch offices (46 C.F.R. § 515.20(e)) or trade names. Incredulously, in its MTD, UCM states that, "... Worldlog does not and cannot allege that UCM's offices in South Carolina or New York perform OTI services. UCM performs OTI services under United Cargo Management, FMC License No. 007305, through its corporate headquarters in Norwalk, California." MTD at 20. This assertion contradicts Respondent's Factual Allegations wherein it refers to UCM's Branch Office. It is also inconsistent with the FMC's definition of Branch Office which is defined as "any office in the United States established by or maintained by or **under the control of a licensee for the purpose of rendering intermediary services, which office is located at an address different from that of the licensee's designated home office.**" Respondent refers to its "Branch Office" several times in its MTD. See MTD at 4 (Through the efforts of Worldlog's owner, Carlton Blair III, a former employee of UCM and **branch manager of UCM's Charleston**, South Carolina office; MTD at 6 (with various self-serving terms that would have effectively transferred **UCM's Charleston Branch** to Blair for free.); MTD at 6 (Unable to get Mr. Lee to sign the draft Separation Agreement giving him **UCM's Charleston branch**).

Regarding trade names, Respondent alleges that "Complainant does not allege that

UCM operates under any “trade names” other than United Cargo Management, Inc, and claims for violations of FMC regulation 515.20(e) fail and should be dismissed. MTD at 20. Complainant submits that it is alleged in the Complaint that, “[t]here is no record of United Cargo Management **ever adding “UCM” or “UCM Cargo Management” to its FMC OTI License.** Complaint at 12, ¶50. Complainant defers to the presiding ALJ to take notice of 515.31 (e) and issue an order permitted under FMC regulations to refer claims to the FMC’s Bureau of Enforcement for alleged violations of FMC regulations governing the alleged Respondent’s unlawful conduct and practices prohibited under 515.31 (e). For the reasons stated above, Respondents MTD should be denied on this issue.

III. RESEPDNENT’S REQUEST TO STAY THIS PROCEEDING SHOULD BE DENIED.

Respondent’s request to stay this proceeding should be denied. Respondent cites pending litigation between and against multiple parties in the U.S. District Court for South and South Carolina state court. Respondent states that each of the litigation matters in federal and state court involve the “same operative set of facts and allegations as Worldlog’s Shipping Act Complaint.” MTD at 20. Respondent states that their federal and state court case came first and the FMC should defer. Respondent cites only *General Motors LLC v. Nippon Yusen Kabushiki Kaisha, et al.*,² to support its MTS.

The party seeking a stay has the burden to demonstrate the need for the stay. The authority to stay a proceeding was discussed by Justice Cardozo, who wrote that “the power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants.” *Landis v. North American Co.*, 299 U.S. 248, 254 (1936). The FMC has ruled that

² FMC Docket No. 15-08, 2016 WL 240785, at *3 (FMC, Jan. 5, 2016).

even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act.

Respondent's MTS should be denied because the Complaint raises serious allegations against Respondent of Shipping Act violations and non-compliance with FMC regulations governing the conduct and activities of licensed OTIs. Complainant submits that the actions in federal and state court are not duplicative in nature and the denial of a stay in this case will not adversely impact judicial economy or efficiency. In post *General Motor* proceedings, the FMC has routinely distinguished their prior decision in *General Motors* when assessing motions to stay. The original *General* is frequently cited for the baseline rule that a stay is not a matter of right, and the burden falls entirely on the party requesting it. However, subsequent FMC decisions (such as in Docket No. 24-11), distinguish the General Motor ruling when deciding *against* granting stays by pointing out (1) the lack of unreasonable delay and that likelihood that the exact same claims, and subsequent cases often involve separate forums without a guarantee of resolving the core Shipping Act violations; (2) Complainants' right to seek reparations under the Shipping Act causes undue prejudice; (3) the alternate proceeding moving slowly or concerns fundamentally different legal questions; different regulatory interests that allows FMC to stay proceedings when the issues before them hinge solely on specialized maritime commerce, tariffs, or **Shipping Act compliance**, even if a parallel federal contract or antitrust dispute is pending. (Emphasis added).

An instructional case on point to support denial of the MTS and preserve FMC jurisdiction is *Greatway Logistics Group, LLC v. Ocean Network Express Pte. Ltd*, FMC Docket No. 21-24 (Served July 16, 2021). In that case, the ALJ addressed similar facts of parallel litigation in federal court involving the same bills of lading. In *Greatway*, the ALJ

cited Commission precedent:

While section 8(c) reasonably precludes the Commission from adjudicating breach of contract claims, the courts more properly equipped to address those matters are not authorized to address Shipping Act matters exclusively within the Commission's jurisdiction. Such issues are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action. Moreover, as noted supra, reliance on the Commission to pursue such violations sua sponte in its investigatory role would eviscerate the reparations remedy afforded complainants by the statute. Therefore, we find that ALJ should proceed to consider those claims.

Citing *Cargo One*, [*Inc. v. Cosco Container Lines Co. Ltd*, 28 S.R.R. 1635, 1645 (FMC 2000)].

The ALJ then applied the principles stated in *Cargo One*, and stated:

Relying on the principles stated in *Cargo One*, the Commission has held that jurisdiction over a complaint alleging violations of the Shipping Act exists even though a proceeding in another forum may have resolved some issues between the parties. For instance, prior to filing its complaint with the Commission, one complainant had sought and obtained an arbitration award of several hundred thousand dollars against the Commission respondent. The complainant filed a complaint with the Commission alleging Shipping Act violations and seeking another million dollars. The Commission reversed the order of the administrative law judge dismissing the complaint and remanded for further proceedings on the Shipping Act claims set forth in the complaint. The Commission held that the fact that the service contract between the parties required arbitration:

does not outweigh the Commission's duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act. . . . To preclude Anchor from proceeding with its complaint solely because a private arbitrator previously issued a ruling would be inconsistent with our statutory mandate to hear such complaints.

Greatway Logistics at 3.

The ALJ in *Gateway* also cited *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006). There the Commission stated that "[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any disputes previously addressed by the Arbitrator that are based

upon common law breach of contract claims shall remain binding upon the parties.”
Id., at 999-1000. Id. Citing *Baltic Auto Shipping, Inc. v. Hitrinov*, 33 S.R.R. 1230,
1232-33 (ALJ 2015) (Order Denying Request for Stay).

We agree with the ALJ in *Gateway*:

“[A]lleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.” *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294, 301(S.D.N.Y. 2014) (citing Gov’t of Guam v. American President Lines, 28 F.3d 142, 144 (D.C. Cir. 1994) (affirming a district court’s dismissal of a Shipping Act claim due to lack of jurisdiction); *D.L. Piazza Co. v. West Coast Line*, 210 F.2d 947, 948 (2d Cir. 1954) (explaining that “the Federal Maritime Board has exclusive primary jurisdiction over” matters “under the Shipping Act”)).

Gateway at 4.

Here, as in *Gateway*, although the district court litigation was filed prior to this proceeding, the allegations raised in this proceeding are different than allegations raised in that case. Even though in the district court litigation, Respondent alleges a violation of 46 U.S.C. §41103 as part of its breach of contract claim, it does not assert violations of
of 46 U.S.C. §41102 (d)- Retaliation and Other Discriminatory Actions, and of 46 U.S.C. §41104(a)(4)(E)- Unjust or Unfair Practices in Adjustment and Settlement of Claims. It also did not allege violations of 46 CFR §515.31 (e) (false or fraudulent claims, false information), Duties and Responsibilities of UCM as an FMC Licensed OTI NVOCC, and 46 CFR 515.20(e). failure to report on OTI’s Branch Office. Thus, the Commission and the district court are adjudicating different issues and the FMC’s jurisdiction is paramount as Article III federal courts are not delegated jurisdiction to hear Shipping Act claims

The ALJ in *Gateway* stated that:

Because district courts do not have jurisdiction to decide Shipping Act claims, granting a stay would not promote judicial economy. Moreover, the FMC is not an inconvenient forum as this case can likely be resolved without in-person hearing. Additionally, because district courts cannot adjudicate claims of violations of the Shipping Act, the factors involving avoidance of piecemeal litigation, which law provides the rule of decision on the merits, and the adequacy of the district court litigation to protect the parties' interests when Shipping Act violations are raised, all weigh against granting the stay. The Commission is the only forum that can resolve the Shipping Act claims. Further, it does not appear that the detailed complaint is vexatious or reactive in nature as the allegations raised involve plausible Shipping Act issues.

Gateway at 4.

Allegations of Respondent not acting in compliance with FMC regulations governing licensed OTI's conduct and activities and in holding out or not as a common carrier NVOCC entitled to collect ocean freight is serious enough for the FMC to retain jurisdiction of this case. In addition, allegations of retaliatory conduct against shipper-customers are before the FMC and not part of the court litigation in court. Furthermore, Respondent and Complainant are both FMC licensed NVOCCs and the FMC has a public interest in ensuring that all licensed OTIs are in full compliance with the Shipping Act and FMC regulations governing licensed and registered OTIs. This is precisely one of the main reasons-among others—that the ALJ in *Gateway* cited to deny the MTS in that case. The ALJ stated that “Shipping Act violations are raised in this proceeding, and respondent is a regulated entity, the Commission has jurisdiction over this proceeding.” The ALJ held that, “the Commission has an obligation to adjudicate plausible Shipping Act claims.” Gateway at 4. Complainant here respectfully requests that the Presiding ALJ apply the same reasoning, public interest concerns, and compliance with FMC laws and regulations in denying Respondents MTS.

CONCLUSION

For the foregoing reasons, Complainant respectfully requests that the motion to be denied, and UCM is ordered to file their answer in accordance with FMC practice and procedures. Alternatively, in the event the Presiding Officer finds WCM's Complaint requires clarification to any Count, or for any other reason, WCM respectfully requests the opportunity to amend its Complaint pursuant to 46 CFR § 502.66 (a).

Respectfully Submitted,



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Dated: July 16, 2026

CERTIFICATE OF SERVICE

I certify that, on July 16, 2026, a true copy of Complaint's Opposition to Respondent's Motion to Dismiss or in the Alternative, Stay Proceeding was filed via electronic mail with the Secretary, Federal Maritime Commission, and a copy was served via electronic mail on Respondent's counsel::

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Dated: July 16, 2026